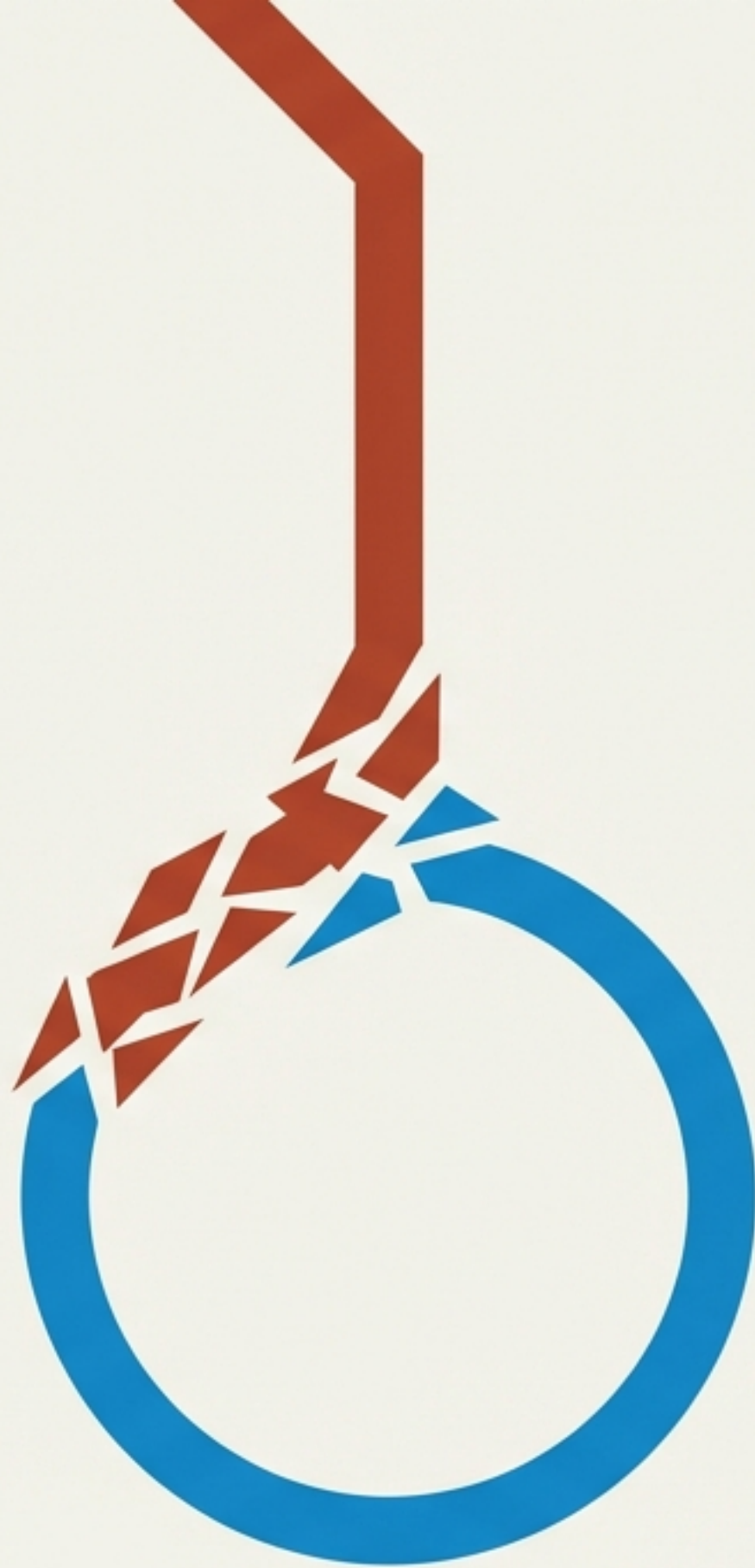




BACHELOR OF BUSINESS ADMINISTRATION: ACADEMIC DEFENSE

THE PARADIGM SHIFT IN MODERN MARKETING:

**Moving from Transactional
Linear Funnels to
Community-Driven Circular
Engagement Loops**

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BBA Marketing | KIIT University
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RESEARCH OBJECTIVES

1



Faltering Funnels

Investigate why the traditional AIDA funnel is structurally failing in the modern digital marketing environment due to ad-blindness and rising CAC.

2



Brand vs. Trust

Compare the effectiveness of Brand Advertisements versus Community Trust as drivers of consumer purchase decisions.

3



Consumer Behavior

Understand modern consumer behavior, specifically how peer community recommendations influence purchase decisions more than brand advertising.

4



AI & Personalization

Study the role of AI and Zero-Party Data (ZPD) in personalizing customer experiences and accelerating circular engagement models.

5



The Flywheel Framework

Propose a practical 5-phase Flywheel Implementation Framework for brands transitioning from funnel-based to community-driven growth architectures.

METHODOLOGY DASHBOARD



Mixed-Method

Quantitative survey data combined with qualitative brand case studies for holistic analysis.



93 Respondents

A statistically robust, fully complete sample size ensuring high empirical data validity.



Balanced Cohort

Target demographic precisely split between students (33.4%) and working professionals (66.6%).

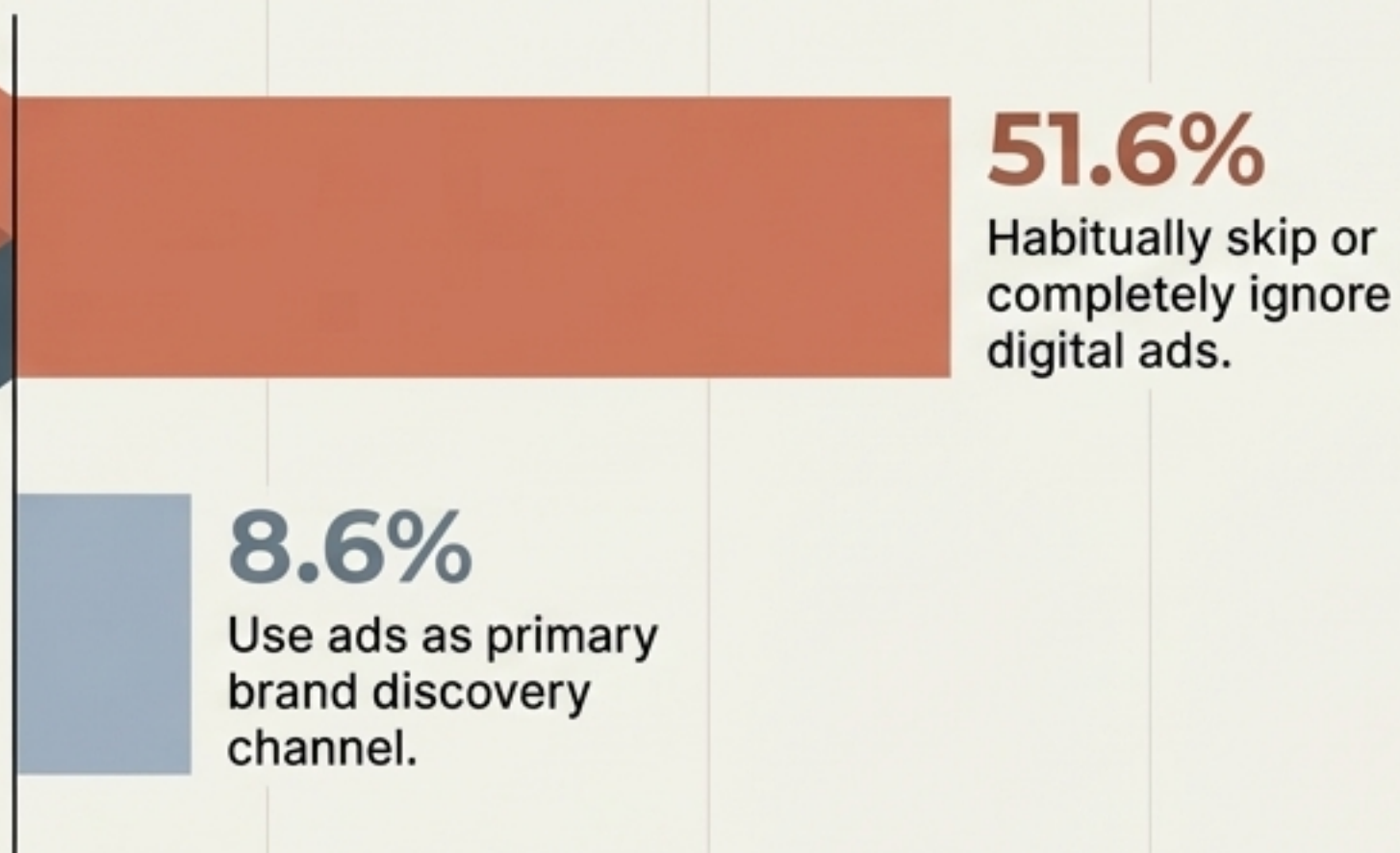


Pearson Correlation

Data evaluated via descriptive statistics, Cronbach's Alpha reliability testing, and correlation analysis.

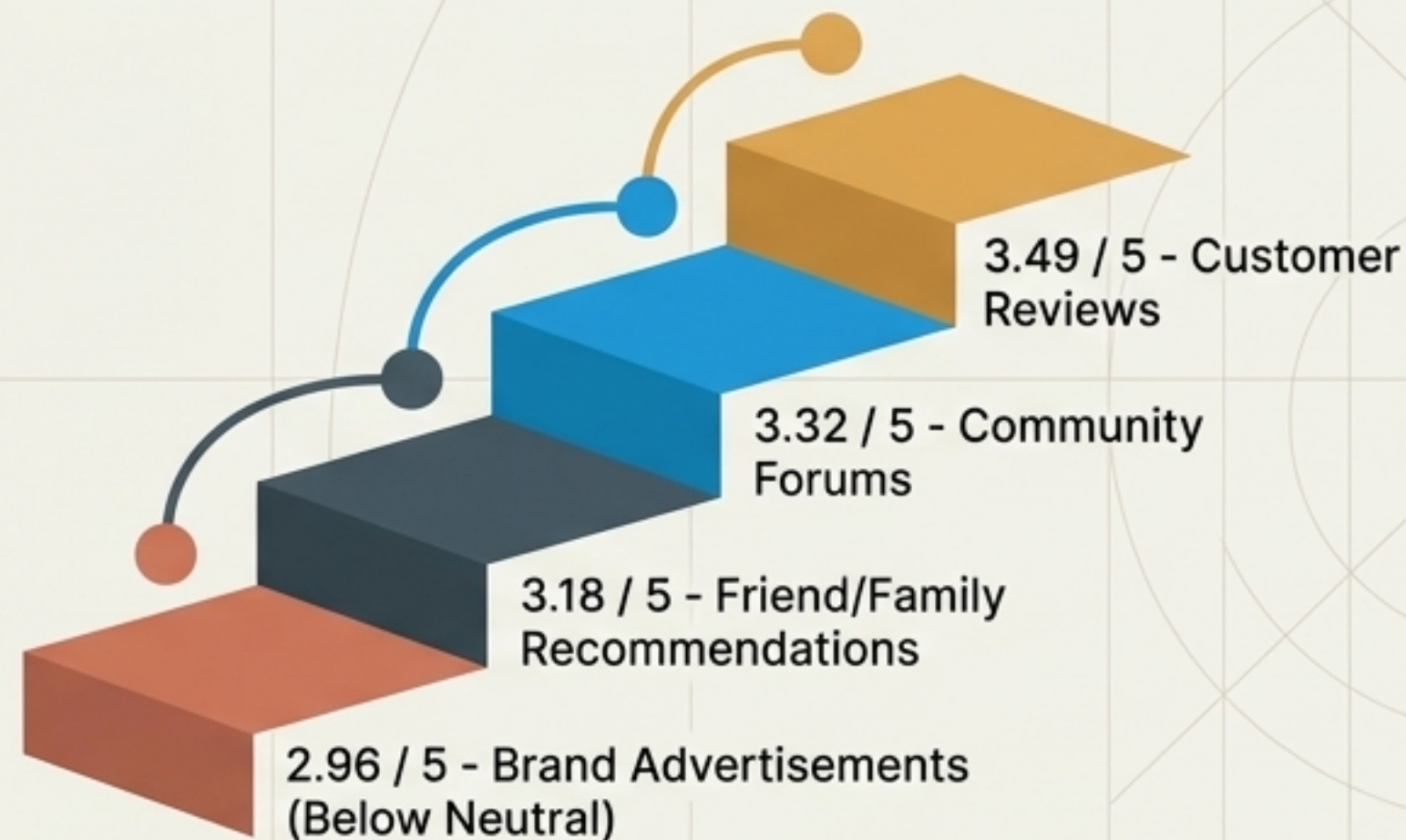
OBSERVATIONS: THE FRACTURE & THE SOLUTION

Ad-Blindness is Endemic



Advertising is no longer a reliable primary discovery channel.

The Community Trust Hierarchy



59.2% of users report final purchase decisions are directly driven by experiential peer credibility.

OBSERVATIONS: MECHANICS OF ENGAGEMENT



53.8%

Personalization Works

Users cite AI-driven, tailored experiences as their #1 reason for remaining engaged with a brand beyond the first week.



45.2%

Passive Communities

While trust is high, a massive segment of community members remain read-only observers. Active participation requires cultivation.



40.9%

The Advocacy Problem

Organic advocacy is rare. Users rarely promote brands unprompted, identifying a broken link in the natural growth cycle.



Identity > Money

What Actually Drives Advocacy

The research found that identity alignment and community belonging are the dominant advocacy motivators. Financial incentives (discounts, referrals) ranked significantly lower as drivers of genuine, organic brand advocacy.

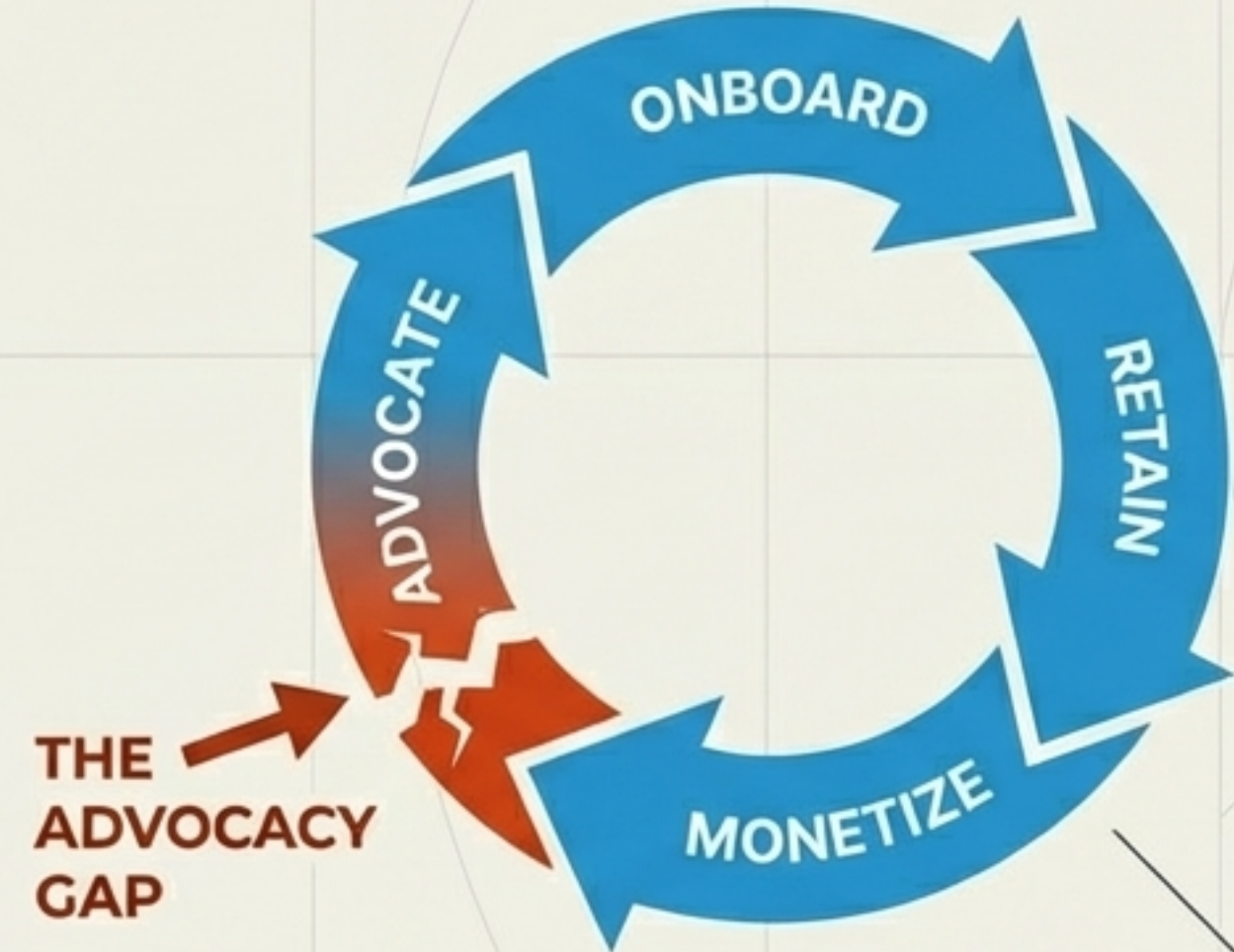
DISCUSSION: THE PARADIGM MATRIX

THE AIDA FUNNEL



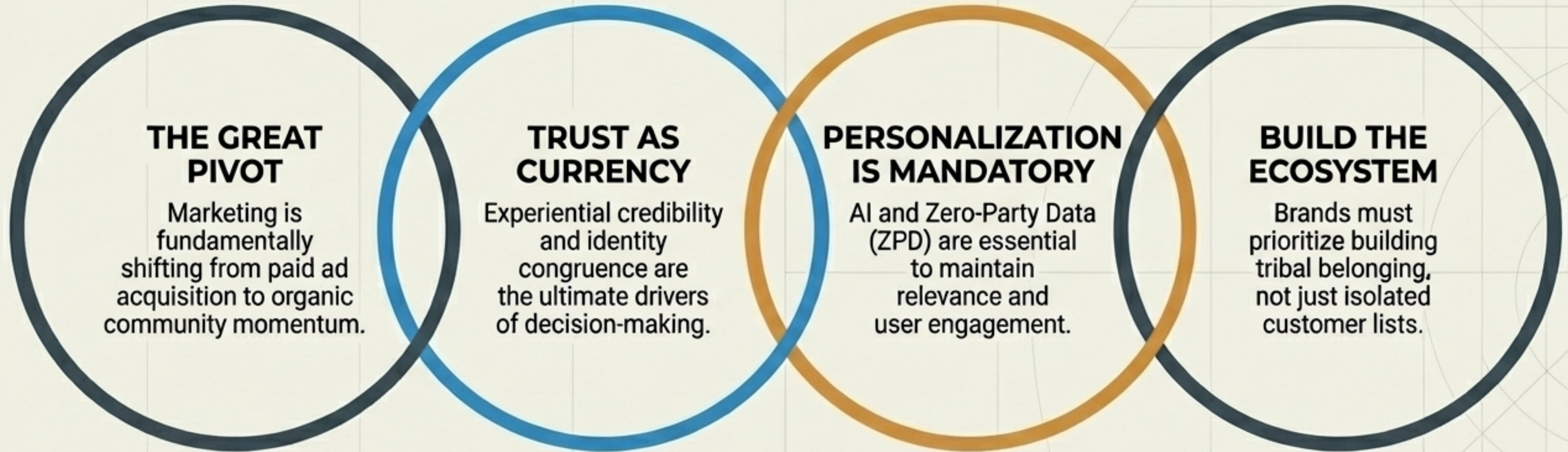
Linear and Ineffective: Ends at purchase. Fails to capture post-purchase value, resulting in unsustainable, escalating Customer Acquisition Costs (CAC).

THE FLYWHEEL MODEL



Circular and Compounding: Driven by peer trust. Brands successfully retain and monetize, but fail to close the loop by incentivizing users to advocate.

CONCLUSIONS: INTERLOCKING TRUTHS



THE ADVOCACY FORMULA:

High Community Trust + **Identity-Based Belonging** = **Active Brand Advocacy**

EXECUTIVE RECOMMENDATIONS



Adopt the Flywheel

Transition from a transactional funnel mindset to a circular, momentum-driven community model. Progressively redirect 15–25% of paid advertising budget toward community infrastructure to permanently lower Customer Acquisition Costs (CAC).



Close the Advocacy Gap

Invest in community identity programs, co-creation opportunities, and member recognition systems — NOT just financial referral rewards.

Advocacy is driven by identity alignment and tribal belonging, not discounts.



Leverage AI & ZPD Ethically

Use AI and Zero-Party Data to personalize experiences through transparent, consent-based value exchanges.

Trust and transparency are the primary gatekeepers — brands that earn data trust unlock a compounding personalization advantage.

The future of brand growth is not in chasing transactions — it is in architecting communities where customers become the growth engine.